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ROCKWOOL A/S (ROCK.B.DK)

Q2 2022 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Ladies and gentlemen, welcome to the ROCKWOOL Report of First Half Year 2022. Today, I'm pleased to present CEO, Jens Birgersson; CFO, Kim Junge Andersen; and IR, Thomas Harder. For the first part of this call, all participants will be in a listen-only mode; and afterwards, there will be a question-and-answer session. As a reminder, this conference call is being recorded.

I will now turn the presentation over to your host. Please begin.

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Ladies and gentlemen, welcome to the ROCKWOOL A/S conference call regarding the results for the first half year of 2022. My name is Thomas Harder, I'm Director of Group Treasury and Investor Relations of ROCKWOOL A/S. Today, I'm pleased to present CEO, Jens Birgersson and CFO, Kim Junge Andersen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded.

First, Jens Birgersson will go through our presentation and give you an update on the results for the first half year and second quarter of 2022. Afterwards, we'll be ready to answer all your good questions. Before I hand over the words to Jens Birgersson, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties.

Now we can go to the next slide, which is slide number 3. Jens Birgersson, I'll now hand over the words to you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Thank you, Thomas. Hello, everyone. It's Jens here. So, I assume you see slide 3 in front of you. So, before we start with the numbers from the quarter – the half year, go through an update from our sustainability goals and the progress we do there.

Starting in the top, generally I would say we are progressing quite well. We are implementing the projects and moving forward with our technology development. So, starting on the emission intensity, that's the CO2 emission per tonne produced, stone wool, we have all this, the Science Based Target in absolute values. But we have this metric back from 2016 where we measure per tonne produced. We had a goal for 2022 of reducing this to 10%, and we reached the a 16% reduction across the board in the group already last year. So, satisfactory progress.

The next goal in the top row, reclaimed material. Our goal was to reduce it by – [ph] the whole (00:03:02) – this is the Rockcycle offering, countries that we offer to take back both product. There are many more countries that take back non-virgin material, but this is a matter of taking back and having a comprehensive stitch of taking back our own product and put it back into production. We have a goal of achieving 15 countries by the end of this year. We just launched Romania and Finland. And we are now – we have launched and we are now 17 countries already in 2021. So, we are ahead of that goal also.

Energy efficiency, on the right, this is the energy efficiency of our own offices, measured in kilowatt hour per square meter. And here, we wanted to drop 75% by 2030 and 35% by 2022. We have just completed Hungary and France. We are 19%. Before year-end, we need to reduce the run rate on [indiscernible] (00:04:13) 35%.

I would say these projects go well, they progress well, but we lost a little bit of pace during corona. My crew [indiscernible] (00:04:26) is still going to be meeting that goal. We might [ph] use (00:04:32) just a little bit or we might be a little bit ahead of it, but it's progressing well and they're increasing their building renovations. We do have the desired impact and more. So, that's good, but it looks like there's a bit of a gap so far. But I'm not too worried about it because we kind of develop the model for how to develop, also to renovate our [indiscernible] (00:04:57). So, that's good, and we have done it in a very evolving approach. We actually use our own management team to do quite a bit of the conceptual plan.

Water consumption, creating fresh water. We get water very cheaply, [indiscernible] (00:04:57) free almost everywhere. But the [indiscernible] (00:05:16) said that with so many areas of the world running dry on drinking water, fresh water, we have an obligation to do that. We have the goal of 10% reduction by 2022, and we achieved 15% already in 2021. And we have – our own goal is then 20% by 2030. So, we are progressing well on that and trying to do it in a way that it doesn't cost too much. Some of these projects are closed circuits. And the factories on that, actually they're quite expensive to make. But once you've done it, you [ph] gauge the results from those systems (00:05:59). So, that's good. And also, it is also housekeeping to make sure it's complete to the extent we are not – again, we're being careful with each [ph] plot (00:06:08).

Landfill waste goal 2030, reducing by 85% and 40% by 2022. We hit 50%, 51% already last year. So, that's just well.

Safety, health and well-being, this is long – lost time incident frequency ratio. So, that's number of days per million man hours. It has been quite a challenging year last year. Then we started off after corona and we started to ramp up. We have some ideas why that happened. It wasn't very bad. It's definitely been the crew. This year has started well, and we see good improvement and we hope to hang on to that. And should we say that on that safety LTI ratio of 3.2, 3.5 that we have now is quite tough to get down. But we are working on it and it's

progressive. And as long as we don't have really serious incidents and fatalities, this is – it feels a little bit better, but more work needed, but it is on good level.

I move to – she says – so, slide 4, H1 for six months. And top line just below €2 billion or €60 million below €2 billion. Growth in local currencies, 31%. And that – the majority of that is priced, but it's also quite good volume growth in the first six months. It's double-digit volume growth, but the majority of the growth is priced due to this cost inflation. The EBIT margin reached 12% for the six months, and I come back to that again when we get to the Q2 results. Free cash flow, negative, mainly due to net working capital. And with this growth, trade receivables go up, but also the inventory valuation going up. So, you'll see that in a couple of percentage points higher net working capital. There's such financial effects on the loss impact there.

And then we also have the non-realized losses on the fact that we have – we're supposed to have rubles for Russia in a normal structure and – around March. That wasn't possible to have anywhere. So, we have the corresponding amount at the time in euros because we couldn't [indiscernible] (00:09:21) rubles anymore and we couldn't have rubles anymore. And that is also quite a substantial impact, although it's actually not the [ph] ruble (00:09:30) cash impact, but it's [indiscernible] (00:09:33).

Move to slide 5, Q2 highlights, €1 billion on top line in the quarter. Very big quarter for us obviously, the top line. 26% growth in local currencies. And in Q2, we saw a change in the market, and it's a very, very modest volume growth. And a vast majority of that 26% is the price. We are seeing this happen, that we had quite a strong start of the year. And then we have seen the realities of the high energy prices, interest rates, the war in Ukraine, what's happening in the US. We start to see that impact volumes.

And we then move on to EBIT margin. We did raise prices according to our plan. We had quite weak – weaker EBIT margin in Q1. And we have – in Q2, the price increases were bigger than the inflationary, [ph] mainly (00:10:52) the energy increases, which meant that we can [ph] include (00:10:55) – we managed to claw back some of the margins. But compared to Q1, we improved the margin to 1.9 percentage points, and we [ph] tend to (00:11:05) have less dilution. So, we compensated the price more than inflationary pressures we had. So, we're very pleased with that, and I will come back to the whole inflationary energy cost outlook and the pricing in a bit.

And if we then move to sales going down – the slide 6, Thomas – again, about majority's price, we say two-thirds price, one-third volume in H1. And here is the – in the Insulation business, we saw strong business across the board. That is clear. You could see in the second quarter some markets that slowed down or stopped because of too much inventory or changes in the market. But in – if you sum up the six months, it's just strong almost everywhere in the Insulation business.

System [indiscernible] (00:12:19), they didn't have a good six months. Here, you see a business like Rockpanel, very building related, having tremendously strong development. We also see how our vegetable business is doing good. But Grodan retail, North America, very, very big comparable last year and quite a big downturn of that business where there's not much going on at the moment, and that has a big impact.

LATAM [ph] as far a bigger piece into cost (00:12:57). It was growing. You're seeing some constraints from that business. So, that's down. But basically you see that the federal growth businesses outside buildings that haven't done so great, Rockfon had a flattish development in Europe, and [ph] had a (00:13:21) negative development in Europe. So, that's the picture. So, [ph] not getting top line (00:13:25).

If you then go into Q2, so on slide 7, here, volume growth is less. Price – the price element of the top line is almost all of it. And you see particularly Systems that had a negative development in several businesses,

although some of the businesses performed really well. Overall, again, Insulation doing well. Majority of the top line is price.

Move on to slide 8, Western Europe generally is strong. Germany, UK, Italy, Norway did well; but it's double-digit growth almost everywhere. In Eastern Europe and Russia, tremendously strong Eastern Europe. In Russia, we see heavy inflation there too. We are rounding that now as we are the owners. So, we are not allowed to operationally control if we are a owner. We do that to make sure our IT and technology space in Rockfon doesn't end up in the wrong hands. And obviously there, you see volume slowed down as expected as the double-digit volume slowed down, particularly value growth due to inflation and price increases. But I would say Eastern Europe is the really strong element here.

Moving on to North America, Asia, and others, US took a tumble in Q2. Here to see before the interest rate increases, we saw there's quite high levels of stocks here among the distributors. So, that went double-digit negative. And then Canada had a fantastic quarter with really high growth numbers. So, that's kind of evened out. Asia, double-digit growth, very low development. And China, still negative. And our view on the US, we need to see another couple of quarters. We have had these stop-and-go quarters before, but don't think that there's quite drastic increases in the interest rate and also some of the inflationary pressures. I would guess that residential newbuild will get impact in the US.

Moving to slide 9, and this I think the rest of backdrop to our change of guidance. Basically, we have the price planned. And somewhere towards the end of June, the [indiscernible] (00:16:50) stabilized at bit, and we went out with our price increases for Q3 and Q4. We have done most of Q3 already communicated, but we upped the targets a bit and then we launched our Q4 increases. So, that's what's put into play and seems to be progressing well, those price increases like the ones before. But then towards the end of June, especially into July, we then saw natural gas basically increased [indiscernible] (00:17:32) and electricity [indiscernible] (00:17:35) again. And that's had a massive impact on our cost base.

Then I'll move to [indiscernible] (00:17:43) and conclude that the [indiscernible] (00:17:44) now because we still have lead times in pricing. We're basically around a quarter and a half, two quarters ahead. We want to communicate we can change some prices [indiscernible] (00:17:55), but we have listened to them and that's the reason we [indiscernible] (00:17:57) expect on previous years but it's not a commodity. We don't price only to be priced a few months out with a six weeks' notice for the same prices. So, I came to the conclusion that we've got development, both the non-GAAP and the electrical prices all over the place. I felt that now this is quite substantial increase we have in the market. We don't really have a base for where this is coming on. It might get worse. It might get better. It might stay on this level. I came to the conclusion that I cannot start to shift the prices again and therefore be more realistic to still have some price increases that are in progress. But on the overall [indiscernible] (00:18:51), it's simply too small to compensate another €100 to €150 million of inflationary or energy costs that now came in, so therefore we adjusted the EBIT margins at that time to [ph] 12% (00:19:12). Should we said like for example gas in Q4, 50% hedged. On the coke, we have coverage three, four months out if you go quarter-by-quarter but then it's quarterly and the balance it will be in three areas of our business and having to [indiscernible] (00:19:36). So, roughly [indiscernible] (00:19:39-00:19:44) Still so much more on pricing and still incredible with our customers.

If we move to slide 10, you'll see – I guess the number what is interesting there is the EBITDA increased over 18% in the quarter on the 25%, 26% top line. Obviously, idea is if you have a 26% top line, it's obviously 26% more bottom line improvement. But the fact that you see 18% there it's because we managed to increase prices more than the absolute inflationary increase. In other, we improved progress, clearly [indiscernible] (00:20:33-00:20:38) but even these margins in absolute terms, it's a good profit if we're talking about EBITDA. If we then

move over to the margins where you don't have the dilution effects, I would say that last year in Q2, we have an incredibly difficult comparable or a high comparable due to the [indiscernible] (00:21:04) very exceptional quarter from the 12.9%, the recovery from the 11%. It's quite a good one. It's [indiscernible] (00:21:15) if conditions changed very quickly at the end of – I will say in July [indiscernible] (00:21:24) of June. So, the comparable difficulty the year before but the level in Q3 is not too bad. We're quite satisfied with our [indiscernible] (00:21:36).

If we move on to slide 11 and we then go into the businesses, you see again when you look at the Systems division, the comparable, it was an extraordinary strong quarter, maybe €30 million would have been a more average comparable if you average out the quarters last year, so that will result in, let's say, a mix effect but very pleasing on the Insulation business how the energy price increases and the rest have been actually passed on quite well and we have improved the EBIT margin compared to a year back. And the year back, we had also quite high margins because we had a very low cost base after the Corona and now it's more volume and price [indiscernible] (00:22:31). And then on the distribution, lower volume, cost absorption effect and also mix effect, the biggest effect on a comparable solution, 3.1% year before, it's abnormally high under 10%. We need to work out because that's still low in our business.

If we move on to slide 12, we have postponed some things, for example, the Grodan lines because now the demand is not as high. In North America, we have some investments in Canada. But apart from that, most of the investment that hasn't happen is because [indiscernible] (00:23:20) has already been stopped in approvals. For example, the ones in France and the general load, capacity utilization of the factories which [indiscernible] (00:23:33) so we have to choose between delivering and doing some sustainability projects and other projects but still in Q2 with almost €30 million in sustainability investments. We are progressing. It's not like we sit around the table until [indiscernible] (00:23:53) CapEx. That's not what we do. This is more a natural outcome of the business [ph] in this direction (00:23:57).

If we move on to slide 13, the operating cash flow is not all [indiscernible] (00:24:06). It is down and the story is basically that net working capital is [indiscernible] (00:24:16) but then also based on the large loss of – cash great loss is impacting on this cash flow. So, that's the majority of the decline is about the non-cash item impact.

Moving on to guidance, sales, compared to first-half here, we see lower activity. Personally, I believe that the risk of recession, both in North America and Europe is high now. The US have had two quarters with negative GDP growth. Although employment markets are very good. Purchasing Managers Index is declining. You will see all of this [indiscernible] (00:25:07) but we are still shooting for 20% to 25% for the top line growth. But we expect the lower business activity again in the autumn is slower theoretically. That said, new build slowing down [indiscernible] (00:25:29). The energy efficiency initiative laws, targets et cetera to meet the climate goals that is there [indiscernible] (00:25:43) see the decline as temporary and new build capacity will shift over to energy efficiency action and there is a lot of money put to that [indiscernible] (00:25:54-00:25:59) is €11.5 billion, €13 billion a year. Italy is still going strong and the year target, the [ph] binding (00:26:05) targets are out at the moment there. So, I think we see it's relatively shorter and on the EBIT, €100 million is substantial. Obviously, with your prize inflationary, the kind of step-up in energy cost, electricity – mainly electricity and gas, this is considerably north of the €100 million in the remainder of the year that impacts our margins. And we are increasing prices compared to second-half after March to tune of 10% but at the end of the year, there is another 10% from what you pay for the average product. It's continued to climb the rest of the year, so non-stop another 10% which has progressed through the year. But if this level of gas and electricity prices are even worst, we cannot adjust the pricing. We don't want to adjust the pricing up and down every month [indiscernible] (00:27:21).

Then we look at the investment level. It's not that we are slowing down investment except for responding, [indiscernible] (00:27:30) maybe hold back a bit because we have capacity. We don't need more to invest. There's

more natural reasons, approvals, challenges to execute, normal type of things and I will say a little bit exaggerated. I mean these challenges have increased the supply chain challenges. People worrying about if they can produce liquid gas [indiscernible] (00:28:00). If that disrupt things, just go a little bit slower. And, yeah, I think that's it.

So, with that I hand over for questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Our first question will come from Cedar Ekblom with Morgan Stanley.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Thanks, gentlemen. Two questions for me. So, obviously we have been or you've been surprised by the level of energy cost inflation as we roll into the second-half of the year. Is there anything that you're doing on your pricing or sourcing of energy costs? I know that some peers out there in the industry tend to look to secure energy under longer-term contracts to have a little bit more visibility on their cost line. I know that that's not really been something that you guys have done in the past but are you changing your full process around that?

And then the second...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah. I can...

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

Sorry, go ahead. And then I'll ask my second question.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

No. No. Go ahead. Next question.

Cedar Ekblom

Analyst, Morgan Stanley & Co. International Plc

So, on the top line guidance, you maintained that, but you are talking about the incremental price increases coming through in the second-half. So, would it be fair to say your outlook on volumes has actually deteriorated? And so while you've seen an increase in your pricing outcome, you've actually expecting to give that back in lower volumes. And if that's the case, can you talk about which regions you've seen the greatest change in the volume trends as we move into the second-half? Thank you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah. I would or can I start with the first one. We have had – I don't know 40 years, 50 years, whatever, forever there's quite short hedging. If we hedge, we hedge a quarter when it makes sense – [ph] pre-buy (00:30:00). So,

coke, for example we have a framed agreement in that we negotiate quarter-by-quarter according to some rules. So, generally we run short. And here some [indiscernible] (00:30:15) taken hedges when it's really obvious that it's a good one, but we haven't had any of this strategy that we try to disconnect from the market forces with power purchasing agreement or anything like that. So, this period we experienced about [indiscernible] (00:30:33) then we can find a sensible hedge. They are dominant book but quite frankly even during the spring and Q2 we benefited by not hedging because the SWAP market was better so, we haven't gotten around. So, I don't think you can solve this with hedging. That's not possible. So we need to take a bigger risk around that and have a look at the way we source in particular electricity and gas. And that's the homework we have to the [indiscernible] (00:31:10) the different strategy on that and we are not done with that work but we are working on to see can get a little less exposed from this when we have volatile clients [indiscernible] (00:31:24). Yes, we are looking at it.

The on the top line, we predicted actually from the beginning of the year quite low top line growth. We have never been – we have never seen this year of double-digit top line growth but low single-digit volume growth. But it's correct that we keep raising the prices. And we expect volumes to go down but I'm not saying that volumes going down only because of [indiscernible] (00:32:07). I think that see a real impact into the market due to the [indiscernible] (00:32:14), building materials generally have gone up, the projects are canceled, postponed and there is a lot of uncertainty in the market and you'll also see lower activity. And I think we will see that progress as we move through the year.

Operator: Thank you. Our next question will come from Kristian Johansen with SEB.

Kristian Tornøe Johansen

Analyst, SEB

Q

Yes. Thank you. I have two questions as well. So first one, just some clarification on pricing. If I understand correctly so it sounds like you're sort of reached a point where you feel you cannot continue to increase prices. Is that how we should interpret this? So I mean if inflation stay at this level I'm not going to be able to raise prices further next year?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No. I'm not saying that. I'm not saying that. I mean, compared to the beginning of this year, let's say, Q4 to where [indiscernible] (00:33:23) at end of the year, we're going to be up about 35%. But I was not feeling it because within the scope where we – we were based on that scope from Q1 into Q2 because inflation happens, so we know it's going to lag with our energy policy or the way we buy energy. We know it's going to lag on this [indiscernible] (00:33:51). But here what has happened is that we have already launched our price increases. I mean we are in Q2, Q3 now and we had already launched the increase for Q4 and I don't feel with the increase we have launched that we can now come back two weeks after that, so three weeks after that and do any other one for the same period. So that's [indiscernible] (00:34:20).

Kristian Tornøe Johansen

Analyst, SEB

Q

Okay. Is...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Does that answer your question?

Kristian Tornøe Johansen

Analyst, SEB

Q

Yeah. It does. So, I guess my follow-up would be so even in a market where it's increasingly like the volumes will go down, you still see possibility to continue to increase pricing when you do your pricing?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I think it would be very [indiscernible] (00:34:48) in the market overall and we head into some sort of recession, and then the renovation would kick in, I don't know how many months after but we have fairly big demand that needs to be fulfilled. I probably will say that my strategy will be try to keep the margins [ph] on hold (00:35:14) and try to protect that, and then take a bit [indiscernible] (00:35:17) on volume. Because really with this cost level, you will need the price level to stay up because the cost level is extremely [indiscernible] (00:35:31). And it's not that it's our cost in the company or things we can control is really this energy cost. That's very clear.

Kristian Tornøe Johansen

Analyst, SEB

Q

That's very clear. Then my second question given the margin pressure you are seeing, have you considered to take any actions on your fixed cost?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

We are. I mean, obviously, on the one hand we need to keep expanding the business. We need more capacity even if there is a [indiscernible] (00:36:04) we need more capacity, because we have been so incredibly below the last one-and-a half year. So we need more capacity and we need [indiscernible] (00:36:15). On the fixed cost, we have a very good team. In most markets, we have our arms around attrition quite well even though it's up a bit. So, have we [ph] utilized (00:36:30) this? I guess the really core things, we keep adding excellent resources. But generally over the company, we are more restrictive. I mean it's much more restrictive on hiring and you have attrition in the company, so that means we are working on fixed cost. And then things like travel and other things they are 25% or more below the year [indiscernible] (00:36:55) new travel capture.

So, yes, we'll – we're starting to manage fixed cost already, preparing for the [indiscernible] (00:37:06-00:37:13).

Operator: Thank you. Our next question will come from Brijesh Kumar Siya with HSBC. Please go ahead.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Hi. Good afternoon. The first one is on gas situation. You have – and the prices have kind of obviously moved up since July and as we look at the overall European energy prices up 20%. Does that mean that gives additional risk to your 10% to 12% EBIT margin guidance for this year?

And a supplementary to that...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

[indiscernible] (00:37:56)

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Yeah. Sorry. Carry on.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

[indiscernible] (00:38:06). Can you repeat the question to make sure I understand.

A

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

No. See, the question is the energy prices since the end of July, on an average, have moved up 20% in August. Now, considering that you are saying that you are not going to raise for the prices for Q4, which you have already communicated in end of June. So, that means are we looking at a margin more like for the full-year at 10% rather than upper-end of the range?

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

I see it like this, I'm just – we are quite good – we have been reasonably good with pricing and executing them, reasonably good at running the business in difficult circumstances and also ramp up capacity.

A

What I see is that when you have these super erratic processes where geopolitical – geopolitics come in and can change just between one month to the next, [ph] one energy site (00:39:13) with €20 million run rate and, yes, you have a little bit more hedging, so therefore, I increased this [indiscernible] (00:39:23) to 10% to 12% to reflect that there is – the biggest element in what's happening now, obviously we're going to have some volume impact to this. But the big issue why we have that variance, that's the energy prices that jumps up Factor 2, Factor 1.5, Factor 1, this is the variability issue. And therefore I want to tell you that it could be 10%, it could be 11%, it could be 12%. It depends how these energy prices move.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Okay. Understood. And my second question slightly on the longer-term basis and now the energy prices are in a different league altogether, including gas. And as I understand with your SBTi-based target to 2034, you were more banking on your fixing your coal-based plants to gas. But with this kind of prices, it's certainly – it's not viable now to move to gas. And with your electric melter technology still evolving, are you finding a way to count how to move to electric or fast track or any other kind of strategy which you are kind of going to adopt to [indiscernible] (00:40:46)

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

I mean the main strategy Brijesh is to move to electricity. Yeah.

A

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Yeah.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

So, the gas solution is a selective one. So, the really important question is the electrical market. Yeah. And obviously there were those kind back-to-black fuels and people ignoring. I mean we talked about starting up [ph] four, five (00:41:12) plants in Germany now for reasons I don't understand. Germany will stick on shutting down the three nuclear plants at the end of the year instead of sitting down [indiscernible] (00:41:28) for a year. So, we [indiscernible] (00:41:34) it's going to be very important the electrical products with our strategy.

On the gas, I am – I mean I've been in the gas [indiscernible] (00:41:43) businesses before, the mining business around [indiscernible] (00:41:46). My experience with gas is that gas prices normally sort themselves out. They are volatile for a bit without – and the gas is there. But now our main strategy is not gas. Our main strategy is electricity. So, that's the key question. And that's we need to work on and there you have our purchasing agreement trying to move away from market, more long-term deal. Because what we actually know quite well when we only do it and we know roughly our demand plus/minus is quite rare. So, this is the key strategy. I will still say we haven't because of an energy crisis in electricity where some of it is very elastic. Some of it is [indiscernible] (00:42:38) due to the electrical transition. We're going to stay on coal. That's not what we are saying. We are still holding on to our strategy. But of course we need to – make [indiscernible] (00:42:50) how we can somehow if we can find a way to get out of these spikes. But if electricity pricing doesn't become reasonable, I will say the whole climate action agenda is not working at all in Europe. So, somehow that needs to be fixed.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Sorry. My question was more around whether you have the technology now to kind of retrofit your existing melters with electrical connections?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I mean it's a little bit – we are working on this [indiscernible] (00:43:29) but we are making good progress. So, I will say we are, we have done some really good trials with that and I want to prove it a little bit more. But I want to have several technologies. So, that's much as I will say today. But we have a plan but we still have some more proof points. But I keep repeating what those [indiscernible] (00:43:51). But my mission is to find some good solution.

Operator: Thank you. Our next question will come from Claus Almer with Nordea. Please go ahead.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Thank you. We also have a few questions from my side and we'll do them one-by-one. Jens, in the past you've been really good in optimizing or timing your CapEx spend and you said you need to add new capacity given the very high utilization rate you have at the moment. But what about the maintenance and sustainability-linked CapEx? Would you be more cautious on those investments in a possible recession scenario? That will be the first one.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I will probably say that if you analyze the CapEx downturn, you also see now signs of steel prices may be easing a bit if you get a little bit more unemployment. And if you look at the financial crisis we had a decline for 18 months and then we started to grow. And there you had the defaults on housing that triggered it all. Earlier kind of downturns have been shorter for us. So, I would probably say that good management would be to keep doing it so that we can keep an even a smooth run rate [indiscernible] (00:45:22) some of them a bit cheaper.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. Then the second question goes to the pricing. And I know there's been a lot of questions already about this but one thing maybe that stands out is the expanding margin in Q2 in the Insulation business, i.e. as you also said you were raising prices more than cost inflation. As I recall in the past, you said not to repeat what was happening ahead of the financial crisis and I know the price increases at that time was significantly more than that this year. But nevertheless you have raised prices more than cost inflation in a maybe slightly difficult starting environment. So, isn't it a dangerous journey you have started by this?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Let's [ph] talk about this (00:46:17). If you go into this and you raise, let's say inflation is 10% and we have raised prices with 10%, the margins will stay the same, right? Well, we haven't managed to do that. So, we have raised, as a percentage of prices, less than the cost inflation we have seen. But due to the way the P&L is structured, our goal is of course is that if you have steady inflation we will likely maintain our profit margin. Now, we haven't managed that. We guide 10% to 12%. This is so extreme and that the timing but -so, I would say we are somewhere in between but to be honest the percentage increase of our prices is less than the percentage increase of the cost.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. And then to this hedging you mentioned you have started to do, when was that? Was that in July or at the very high level in August?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Come again, Claus?

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Yeah. Sorry. So, you said you started...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

We started in June. And then we used that as a basis for our Q3 and Q4 pricing then it [indiscernible] (00:47:44). I think it started to decline a bit and then it started to spike again according to that chart. So, you had this tightening there and then it eased off, and it looks like the assumptions would hold and then it just went crazy in July, primarily end of June. In July, it just skyrocketed.

Operator: Thank you. Our next question will come from Yuri Serov with Redburn. Please go ahead.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Yeah. Hi. Good afternoon. I have one quick question with a few branches from it I suppose. So, looking at your prices and your pricing strategy, you're trying to be kind to your customers. You're trying not to jerk their prices up too much and make their life more difficult so the customers are supposed to pay you back somehow. So, I'm thinking in the future, how will you [Technical Difficulty] (00:48:52) and let me just speak and then give you two illustrations that I'm thinking about. I mean one possibility is that next year, let's suppose costs go down but your customers will not push you to reduce the prices because you were good to them this year and you will be able to get a better margin. Or alternatively because you're behaving this way, you will be able to get more volume from your competitors and your volumes will form better than the market because the customers are willing to give you more volume [indiscernible] (00:49:23) what do you think?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I mean, first of all, we have been able to deliver and we are shorting the delivery time, so we are really forced to make sure we don't stop projects and that we have been good to them, while obviously when you raise prices 35% in the year, it's very few purchasing managers who say you have been good, so I don't think we have lost points in that.

What we do here is that – but we've been very clear that it's well-funded. We are not exploiting this situation and this announcement we do here which show that. And it's also, it's not that – the issue is that we have launched the prices for Q3 and Q4 and that's what we said; this is the price you're going to have and then to step back on your word and then come back again two or three weeks after and say [indiscernible] (00:50:31). It's just not the way we work with our customers. So I would say that's it. And then in Q1 next year, we haven't commented to that. First, we need to understand what is the basis for this. So probably what we're trying to do with our customers and say, look, it's probably best for everyone that we raise and see how crazy will this get before we get into pricing for Q1.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Yeah. I understand. But...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

[indiscernible] (00:51:04). Yeah.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

...but what sort of reciprocity do you expect from your customers? I mean you are not exploiting the situation and you hope that they will appreciate it, I presume?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I don't really need the [indiscernible] (00:51:23) – I mean they all remind me and I'm sure that we want is have a good market price and obviously with our investments, we need to keep margins soft. It's not the problem for the businesses if we make 10% EBIT margin. But I mean I like to get back to the 13%. So, look, we have a good

basis for investments with more capacity and that's what we tell our customers because we [indiscernible] (00:51:54) the cost go down the back end if you have a bit more profit than this – I mean it's purely contractual. We have the [indiscernible] (00:52:10) and the negative costs go down quickly. If you change the way we buy entity, we might not have that to take, so I don't think that would be much of a discussion.

The main challenge we have now if I look at pricing is of course the ramp up in cost, energy cost is happening now on the prices so gradually improving. So, Q3 is going to be a tough quarter. That's probably my main focus is to make the best of Q3. Then Q1 next year, I hope we have a little bit more stable energy markets, so we know a little bit more how to [indiscernible] (00:52:49).

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Okay. And can I ask you what are your competitors doing? Are they following the same strategy or are they actually more aggressive in increasing the prices?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

It varies. Some people that have probably done a – had a different policy for energy prices and they have been very well off in that situation. And then the others [indiscernible] (00:53:12). You basically see that the policy, the underlying policy – you have I mean more and more of those said they're okay [indiscernible] (00:53:22). But in reality when we have this type of volatility on the cost base, you think that the ones that have a different policy on energy [indiscernible] (00:53:37) lower hedged energy, they go with a bit lower price. That's what I see. And then I see some competitors that are in the same situation as us, and they really push price. Then if the volume slow down generally in the market, which we predict it would do for a while now, then, of course, all different variables will happen.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Yeah. So, there are people who are actually pushing prices more aggressively?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

There are some pushing prices a lot and there are some doing less. And whenever you have an inflection point when things change, you're going to see a whole array of things and be kind of – be quite stable. And some of which is the [ph] loose (00:54:42) volumes because we need to be relatively steady in what we do every country [ph] on top and down all over the place (00:54:47).

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Q

Okay. All right. Thank you for that. Now, I just want the second question. On the US, did you say that volumes were down double digits? I'm really surprised to hear that.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Yeah.

Yuri Serov

Analyst, Redburn (Europe) Ltd.

All the peers...

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Yeah. Yeah. Volumes...

A

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Can I finish this? All the peers, other building materials companies are all telling us how strong the US market is, and then suddenly you say that it is such a big drop.

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

We have definitely competitors who see the same thing, is they're going to be great drop for the construction market. But you – if you read through some of the other materials that go into similar segments to us, you definitely see that Q2, Q3 is down on volume. That has been a tremendously strong market. And here, I would say in the US [indiscernible] (00:55:51) of pure demand, we see the same thing. It's happens. And then the question is, how will the markets go when the US stepped into more of a recession or not. I guess they will, but due to the interest [ph] rate hikes (00:56:11), but they are not [indiscernible] (00:56:13).

A

And the US have their climate package, just [indiscernible] (00:56:20) and they are spreading money around so that might compensate. But [ph] this now (00:56:25) was more stock adjustment, that the stock in the distribution channels from all over was quite high, and they're kind of [indiscernible] (00:56:33). But I...

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Outstanding. Just...

Q

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

... [indiscernible] (00:56:37) to be a little – a much tougher climate. But there are many people that say I'm wrong on that.

A

Yuri Serov

Analyst, Redburn (Europe) Ltd.

Okay. And you say stock in the distribution channel. If you look beyond that, is the weakness coming? I mean, we know about residential. What about non-residential markets that we [ph] took (00:56:55)?

Q

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Sorry [indiscernible] (00:56:57) to jump in here. Sorry to jump in, Jens and Yuri, but we have to go to the next analyst. Thank you for your two questions, Yuri. And please present the next.

A

Operator: Thank you. Our next question will come from Arnaud Lehmann with Bank of America. Please go ahead.

Arnaud Lehmann

Analyst, Bank of America Merrill Lynch

Q

Thank you very much. Good afternoon, gentlemen. Two questions on my side. The first one is, could you please provide an update on your operation in Russia? Have you seen a meaningful decline there? And are you still happy to – with your decision earlier in the year to keep the business in scope?

And my second question is more of a kind of more general outlook question on the European demand. You mentioned there is a macro slowdown, the risk of recession have gone up. At the same time, the reason for this recession is higher energy price, and that gives an incentive for households to invest in energy efficiency. So, how do you balance the downside risk from the macro to the upside risk from energy efficiency of European housing? Thanks.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Good questions, Arnaud. So, on Russia, I get three, four letters a week from people that want to take over the plant. So, I guess much more push from Russian investors that want to have our assets for [ph] renewable in the period (00:58:30). So – and we are now – due to sanctions, we are owners of the business. We are not in operational control. I'm satisfied with that because if you look at the difference with many others, they say they're going to divest, they're going to do this and that. But fundamentally, they are in the same situation.

What we have is that these four factors we have in Russia, they are topnotch world-class proprietary IP, and I don't want it to fall in any other hands. And that [ph] all is met (00:59:06). The market has declined. The market has not declined as much as the EU make you think it has, but the double-digit has declined in volumes. But the factories also that are self-sufficient around local-to-local, local people running it. And I'm still very convinced that if we, in anyway, would back out to [indiscernible] (00:59:36) factories, that's [indiscernible] (00:59:37) the most formidable competitor there is, [indiscernible] (00:59:40) clearly have a lead.

So, those assumptions are intact. It doesn't mean that I believe we will have great business in Russia. I notice, of course, that now China and India are taking all the oil Russia is selling, so how bad will it be in Russia? Don't know. Probably not as bad as [ph] the year holds (01:00:09). But, again, it's not the main strategy for us. We are not investing in Russia. We are protecting our IP and some royalty and dividends will come out to that, that we can use elsewhere, but it's not enough. Obviously not the main strategy other than protecting our intellectual property and make sure that [indiscernible] (01:00:32) more money falls in the hands of the wrong people then.

Okay. Then on the macro slowdown, personally, I think this whole trend, back to black, just to get energy does really bad for the climate change, starting coal-fired plants and [ph] panic (01:00:55) investments to keep running. That will have the [indiscernible] (01:01:00) effect on other gains of climate change and counteraction. But I will also say that for the sake of energy efficiency, downturn with lower [ph] unit (01:01:14) volume shifting over the people to renovation and the [indiscernible] (01:01:14) divide is a good thing. And there will be a bit of a time delay, but it's still very, very good thing to us if that happens. So, I would say the recession will trigger even more that is, A, an [indiscernible] (01:01:31); B, to [indiscernible] (01:01:34) a stimuli to increase renovation, but this also a absolutely necessary step to [ph] reach (01:01:41) some of the [indiscernible] (01:01:42).

So, I'm not – I'm actually not worried about the recession. Of course, we like to run business without the recession. But I think it is actually a good thing for our business on the medium term.

Arnaud Lehmann
Analyst, Bank of America Merrill Lynch

Q

Thank you very much.

Operator: Thank you. Our next question will come from Yves Bromehead with Exane BNP Paribas. Please go ahead.

Yves Bromehead
Analyst, Exane BNP Paribas

Q

Good afternoon. Thank you for taking my questions. Two [ph] from me (01:02:15). Number one, I wanted to come back on the inventory situation. I think you've mentioned stocking inventories in the US. Can I ask a similar question in Europe? What's the stocking inventory level at the wholesaler channel? Are you seeing any risk here of destocking? How should we think about that?

And then the second question – yeah. Second question, sorry.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Could I answer that now or tell – read – tell me the next question also.

Yves Bromehead
Analyst, Exane BNP Paribas

Q

Okay. So, the second question is on the economics of the electric kilns. You've given a bit of color on your views. But in light of what's happening, could you actually decide to completely postpone some of your investments on greenfields, especially in France or in Sweden? Has that actually changed your way of thinking about sort of the returns you can generate on the French plant and also Sweden? Thank you very much.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Okay. Okay. Thanks. So, starting inventory, whichever the way we look at it, when you see the slowdown in construction market, they're going to be some stock in inventory. I guess the [ph] DLC (01:03:32) traditionally has been [indiscernible] (01:03:34) to all those [ph] very extreme (01:03:36), and has happened. They go very low very quickly and they just fall.

Then we have seen that happened in Eastern Europe in previous corrections. We haven't seen any of that so far. That business is very strong. And you can expect to see some in the rest of Europe, outside Eastern Europe. But it could happen anywhere if the end user or the construction activity goes down. This could happen, and that uncertainty is there. So, it's kind of similar to say, people worry about recession or that [indiscernible] (01:04:20), then you're going to see it, right? And I – my expectation is that a combination of both with the fair bit of that, [ph] and both (01:04:29).

Then the electricity, I mean, you have a couple of ways you can reduce CO2 footprint with gas. You can do it excellently with biogas like we did in Denmark. But natural gas is better, [ph] but it's (01:04:53) not for anything. Then you need electricity and complete green electricity. So, I will say, we need to see – understand this a bit – a little bit better. We know though that when this downturn is – which just happened, we need more capacity later on in the future, which is [indiscernible] (01:05:13). So, we want to expand, and we haven't yet changed in any

way our strategy to go for electricity. We will have to think about the pace due to it, because if you look, for example, in Germany at the moment, if you run an electrical melter, then you have the choice between running on coke and electricity. It's a massive cost difference.

[ph] Two-year (01:05:44) stack is often the massive cost difference, but now [ph] we did (01:05:48) electricity prices, obviously huge cost impact. Yeah. So, we need to think about that. But, again, I don't have a comprehensive plan, but we [indiscernible] (01:05:58) everything down to meet our financial targets. We need to do a whole lot of transitions, and we need green electricity, [ph] always to drive (01:06:08), but otherwise [ph] it doesn't do anything (01:06:10).

So, rough plan continues, but there could be some adjustments obviously because we are in a slightly different situation, both on the energy pricing and market condition.

Yves Bromehead

Analyst, Exane BNP Paribas

Q

So, you won't expect to delay or cancel France and Sweden, is that correct? Just to [ph] contrast (01:06:32)...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

More – I mean, the France factory is an approval issue to [indiscernible] (01:06:38) that one. So, I don't want to delay that one. But at the moment is the matter of getting an approval we are waiting for and....

Yves Bromehead

Analyst, Exane BNP Paribas

Q

Okay.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

...getting the building [indiscernible] (01:06:49).

Yves Bromehead

Analyst, Exane BNP Paribas

Q

All right. Thank you very much, Jens.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Thank you.

Operator: Thank you. Our next question will come from Manish Beria with Société Générale. Your line is open.

Manish Beria

Analyst, Société Générale

Q

So, hi there. So, you said [audio gap] (01:07:08) electricity cost, maybe natural gas also. So, can you tell us in the second half how much of your natural gas, as well as electricity is hedged? So, this is the number one question. My second question will be, in your guidance, what are you building for the volumes for the cost of goods sold, inflation, and the distribution cost inflation in the second half?

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Okay. So, just to be clear on the gas hedge, in Europe, we have 50% coal, we have 100% electricity with more or less doesn't have a hedge for Q4. Then on the volume, we have obviously built in softer volume scenario in our outlook. Yeah.

Manish Beria

Analyst, Société Générale

Q

And how much inflation you have [audio gap] (01:08:16) raw material, as well as [indiscernible] (01:08:19).

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

There are – I – if you look at [ph] like coal (01:08:21), I'd say, in excess of €100 million, but obviously we're also doing price. So, we have put a fairly big number in there. But if you look on Monday and you will keep those prices, the number would be too small, but then we have seen these prices go up and down. So, it's just [indiscernible] (01:08:44) and therefore I put a bigger span on the 10% to 12% because you're talking another €50 million and you're dealing with the percentage point margin. So – and €50 million in this game now with what's happening, even though we are hedged on many of these things, most of it has big impacts, and therefore [indiscernible] (01:09:12) spread. So, we just have to monitor because simply – obviously we have assumptions, but we simply don't know. We can't predict per se.

Manish Beria

Analyst, Société Générale

Q

Okay. Thank you.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Thank you, Manish. I think that's the last question. Or do we have one more?

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

A

I think we – there was one more hit through the filter.

Operator: Yes. We do have...

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Okay.

Operator: ...one question from [ph] Ron McKellar (01:09:42) with JPMorgan.

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Okay. Please [ph] resume (01:09:45). [ph] Ron (01:09:51)?

Operator: [ph] Ron (01:09:57), your line is open. Please make sure you're unmuted.

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Otherwise, let's go to final remarks.

A

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

[indiscernible] (01:10:15).

A

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Yeah.

A

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Okay. Sorry, [ph] Ron (01:10:18). We can't hear you. [ph] It's a bit (01:10:20) – Thomas, you can certainly close this off then.

A

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Yes. I'll do that.

A

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

[indiscernible] (01:10:23) Ron, and...

A

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

We can speak after remarks.

A

Jens Birgersson

President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

[indiscernible] (01:10:27) you, [ph] Ron (01:10:28), and answer your question. But we can't hear your question [indiscernible] (01:10:31). We'll reach out to you.

A

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Thank you. Ladies and gentlemen, we would like to thank you and thank the equity analysts for your good questions and the audience for listening in on today's call. We appreciate your interest in ROCKWOOL A/S. If you have any further questions, please feel free to reach out to me, Thomas Harder. You know my contact details or you may find them in the Investors section on the corporate website. Jens, Kim, and I thank you for joining today's earnings call. Have a great day.

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